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Editor-in-Chief *Information Systems Research* INFORMS

Dear Editor,

I am pleased to submit the manuscript “Fewer Clicks, Not Fewer Searches: Generative AI and the Monetization of Search” for consideration as a research article in *Information Systems Research*.

Generative AI is widely expected to displace web search. The paper argues that the more immediate threat to search platforms is less obvious: AI-generated answers resolve queries without the click on which sponsored search is priced. On October 29, 2026, Alphabet lost about $475 billion in market value after reporting that search revenue had slowed even as query volume grew, and management attributed part of the slowdown to the lower monetization of AI answers. The paper explains why this happens and what it implies for how AI answers will be paid for.

The manuscript makes three contributions.

1. **Empirical premise.** Using Google Trends data for U.S. states, Wikipedia pageviews matched to Eurostat’s official statistics on generative AI use, and the staggered international rollout of Google’s AI Overviews, I find little evidence that AI adoption has reduced aggregate search activity, but suggestive evidence that AI summaries reduce clicks out of search. The relevant margin is clicks per search, not the number of searches.
2. **Theory.** A model of competition between an incumbent search platform and an AI-native entrant whose answers carry an inference cost shows that ad-free answers are not sustainable, characterizes how inference costs are shared between users and advertisers, and shows why a rival’s adoption of advertising need not benefit the incumbent. Extensions add an advertiser side (yielding a “scarcity dividend” in the price of ads), the

incumbent's choice between summaries and full answers, a fixed cost of answer technology, and a model of user trust and verification.

3. **Tests of the model, including a negative result.** Event studies, Alphabet's paid-click and cost-per-click data, a cross-firm analysis of 17 search engines, and a within-firm analysis of Google's rollout across 47 countries support the cost and advertiser-side results. They do not support the cannibalization prediction that firms with more legacy revenue delay AI answers: capability, market scale, and regulation set the pace. A trust shock in May 2024 was not followed by more clicks, which suggests that the effort of reading results, more than trust in AI, keeps users from clicking.

I believe the paper fits *Information Systems Research* because it addresses a central question about how a dominant information technology, web search, is being reshaped by generative AI, and it combines analytical modeling with multiple sources of archival evidence in the tradition of IS research on platforms, sponsored search, and IT-enabled disruption. It should interest scholars of digital platforms, online advertising, and the economics of AI, as well as managers and policymakers concerned with the monetization and regulation of AI search.

The manuscript is original, has not been published elsewhere, and is not under review at any other journal. All data are publicly available, and a replication package with code and data is included with the submission. [Disclosure of generative AI use, consistent with the INFORMS policy, is provided on the title page.] There are no conflicts of interest to declare.

[Optional: suggested senior editor or associate editor with relevant expertise; reviewers to exclude, if any.]

Thank you for considering this submission. I look forward to hearing from you.

Sincerely,

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